

Granite Heron Mitigation-Savings Model

Admitted October 10, 2025

United States District Court for the Western District of North Carolina Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc. Civil Action No. SYN-WDNC-24-CV-0520

Granite Heron offers Dr. Elodie Park's model of loss allegedly avoidable through the October 2 Cobalt Finch opportunity. For this calculation only, the model accepts Blue Ember's 4.2-million-dollar gross position as a starting assumption. That conditional use is not an admission of breach, causation, contract coverage, or any gross-damages component.

Park treats the Durham suite opening as genuine, time-limited capacity paired with relevant capability and a concrete transfer plan. She acknowledges that Cobalt Finch had not manufactured BE-214, program qualification remained incomplete, and success was not guaranteed. Her opinion is that the staged conditions and expected benefit nevertheless made securing the slot economically reasonable.

The proposed reduction concerns avoidable delay, not the historical logger event or release of the rejected lot. It leaves the 1.35-million-dollar original-lot line and 850,000-dollar replacement subtotal analytically distinct. Blue Ember disputes Park's feasibility and probability judgments while accepting that the displayed subtraction itself can be checked.

Gross delay allegedly avoided

Park begins with Brooks's two-million-dollar bounded delay category and compares the actual March 3 Aurora Quay campaign with Cobalt Finch's proposed December 2 manufacturing start. She maps the accelerated course through later testing and review rather than treating the first manufacturing day as final validation release.

The model attributes 1.8 million dollars of gross avoidance to the earlier course. It leaves 200,000 dollars of disruption in place for investigation, transfer mobilization, unavoidable schedule friction, and residual timing. It uses Blue Ember's risk-adjusted contribution structure instead of pairing a certain alternative with an unadjusted commercial forecast.

Support for the schedule includes the held suite, October 7 kickoff, October 14–15 assessment, early-November transfer tasks, November 11–15 engineering confirmation, November 22 readiness gate, and projected campaign activity through December. Park regards execution risk as material but manageable. Blue Ember responds that no contemporaneous success probability supports treating the full 1.8 million dollars as likely avoidance.

Incremental alternative expense

Cobalt Finch estimated 300,000 dollars for transfer management, focused qualification, document adaptation, selected analytical work, training, engineering confirmation, and the premium for accelerated capacity. Park treats that figure as incremental beyond replacement manufacturing that Blue Ember would incur at either site.

The estimate was preliminary and subject to scope. A major gap could increase cost, and some staged expense or reservation charge could remain if readiness failed. The model nevertheless uses the full 300,000 dollars rather than a lower expected figure, which Park describes as conservative toward Blue Ember for the successful-path comparison.

The amount is not part of Blue Ember's actual 850,000-dollar ledger because no Cobalt Finch transfer occurred. In this exhibit it appears once, as a cost subtracted from gross delay avoided. It is not also imposed as a separate penalty or added to gross damages. If the factfinder chooses a different supported cost, the formula accepts that input without revising shipment liability or original-lot value.

Net deduction and resulting total

The model subtracts 300,000 dollars of reasonable incremental expense from 1.8 million dollars of claimed avoided delay. The resulting net mitigation deduction is 1.5 million dollars. Applying that deduction to the conditional gross base of 4.2 million dollars produces 2.7 million dollars.

The arithmetic leaves 2.2 million dollars of direct cost and 500,000 dollars of residual delay in the resulting total. Park does not use the alternative to revive the rejected lot, excuse the Fletcher transition, or eliminate all schedule effect. Granite Heron retains separate objections to direct expense and gross delay but does not stack them inside this calculation.

The worksheet also displays sensitivities. Gross avoidance of 1.2 million dollars with the same cost yields a 900,000-dollar net reduction. Gross avoidance of 900,000 dollars yields a 600,000-dollar reduction. Blue Ember may argue for still less or none based on readiness risk. The jury must determine the supported facts under the mitigation instruction rather than treat a scenario label as evidence.

Assumptions, separation, and certification

Park assumes Granite Heron caused the transport event and that Blue Ember rejected the lot in good faith, solely to isolate the post-event mitigation question. She relies on Cobalt Finch's records, Blue Ember's schedules, witness testimony, and the expert source set. She did not inspect an actual facility because the entire exercise is fictional.

The model assumes prompt Blue Ember cooperation, availability of documents and materials, and no undisclosed critical incompatibility. It recognizes a November readiness gate and does not promise scientific success. If caused delay is lower than the proposed avoidance, the deduction cannot exceed the supported category after reasonable alternative cost.

The temperature event, validation disposition, gross damages, and later capacity decision are shown on separate model lines. That modular structure permits independent findings and avoids using mitigation to rewrite breach or causation. Park certified the formulas and source relationships; the Blue Ember expert disputes the inference that the full alternative benefit was sufficiently likely. Admission leaves burden, reasonableness, and weight for the jury.